

Table 64.1 Identification Guidelines

Characteristic	Discussion
Appearance	Two price trendlines, the top one horizontal and the bottom one sloping up, form a triangle pattern. The two lines join at the triangle apex.
Trendlines	The top trendline in the pattern is horizontal. The one on the bottom slopes upward. Price must touch the two trendlines a total of five or more times (three on one trendline and two on the other). Each touch should be a minor high or minor low.
Crossing pattern	Price should cross the triangle several times, covering the whitespace with price movement.
Premature breakouts	Somewhat prone to premature breakouts, both up and down. Volume on a false breakout is also heavy, just as the genuine breakout.
Breakout direction	The breakout can be up or down. It occurs a median of 64% of the way to the triangle's apex.
Volume	Volume is heavier at the start of the triangle than near its end. Volume is usually low just before the breakout, but need not be.

Premature breakouts, breakout direction. How can you be sure the breakout is not a premature one? You cannot. A premature breakout happens when price closes (or even the high price pokes its nose) outside the boundary of one of the trendlines. After a few days, price returns to the confines of the triangle and eventually breaks out for good by moving outside the trendline.

Volume on premature breakouts is indistinguishable from normal breakouts, and both occur at about the same distance to the triangle apex. I don't worry about premature breakouts anymore. In fact, I consider them as the actual breakout, providing price *closes* outside the trendline boundary.

Volume. As the triangle forms, volume is heavy at first but tapers off until the day of the breakout. Often volume is abnormally low a few days before the breakout, as if the triangle is gathering strength for the final push. When